

Luci Digital Tech Services Corp

17060 67 AVE NW,
EDMONTON, AB T5T 1Y8
Canada

Policy Effective Date : December 1, 2024
Policy Expiration Date : December 1, 2025
Quote Valid Until : February 24, 2025

Dear Daryl Harr,

You've put everything into your business — we get that. You need an insurance policy that's flexible, meets your needs, and includes a number of extras for your peace of mind — we get that too!

That's why we've put together a dedicated insurance solution for small businesses that will provide you with the coverage you need to protect all the things you've worked so hard to build.

This quote is based on the details provided as of the date of the quote. Please refer to the Terms and Conditions within your quote for additional details that may require your attention.

Quote #Q00724766
Proposal presented by:
Kevin Reiger
Kevin.Reiger@Federated.CA
204.786.6431

More than just a policy:



Flexible Payment Options let you pay for your policy all at once, monthly, or in an installment plan using a variety of payment methods, including credit card!



24/7 Claims Service is available for you 24 hours a day, 7 days a week, making your claim settlement easy and stress-free when you need it most.



Trauma Assistance¹ offers confidential 24-hour counseling services to help you and your employees cope with the emotional effects of a loss.



Risk Management Assist^{TM2} gives you access to our team of Loss Prevention specialists, who can answer questions and provide guidance on a variety of property, auto and liability loss prevention topics.



Legal Assist Services³ provides you access to legal assistance and practical solutions for matters affecting your business. It includes a telephone legal helpline, document review and simple legal letter drafting services, and access to customizable legal templates. Refer to legal assist services page for details on accessing these services.



Blanket Coverage offers extra protection for your property and includes a variety of coverages up to a limit of \$500,000. This limit can be used for one or more coverages under the extension.



Cyber Risk Coverage gives you complimentary access to our CyberScout service, which provides you with proactive measures to protect against cyber risk, and reactive assistance in the event of a privacy breach.

About us

Federated Insurance is a 100% Canadian-owned commercial insurance specialist. We have been serving Canadian businesses of all sizes for over 100 years and are proud to be recommended by over 70 trade associations and buying groups.

To learn more about Federated Insurance, visit us at www.federated.ca info@federated.ca

[®] Trademark of Northbridge Financial Corporation ("Northbridge"). Used under licence from Northbridge.

^{*} Your Federated Insurance policy is underwritten by Federated Insurance Company of Canada.

¹ Trauma Assistance services are provided by Family Services Employee Assistance Programs.

² Services intended to augment internal safety, compliance and risk management practices.

³ Legal Assist Insurance provided by ARAG Legal Solutions Inc and offered through Contact + Insurance Network Ltd.



Coverage Highlights

Commercial Property - Property, Business Interruption and Equipment Breakdown

LOCATION 1 - 12803 54 ST NW, EDMONTON, AB T5A 0C1

Location Coverage Details

(\$1,000 minimum deductible - deductibles vary by coverage)

Building 1

	Limit	Deductible
Equipment Breakdown excluding Production Machinery	Included	\$1,000/24 hours
Endorsement		
Business Personal Property	\$50,000	\$1,000

Schedule of Business Personal Property

Item	Limit	Deductible
Office Contents	\$30,000	-
Stock - Owned/ Others stored in open lot	\$0	-
Equipment	\$0	-
Stock - Owned / Others inside building	\$20,000	-
Tenants/ Owners improvements	\$0	-

Business Income	Actual Loss Sustained	24 hours
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Additional Location Coverage Details

	Limit	Deductible
Earthquake Shock Endorsement	Included	3%
Flood Endorsement	Included	\$10,000
Sewer Back-up	Included	\$2,500

ADDITIONAL PROPERTY EXTENSIONS AND ENDORSEMENTS

	Limit	Deductible
Critical Illness and Accidental Death Benefit Coverage	\$35,000	-
Automatic Blanket Coverage Extension	\$500,000	See Form
Product Recall Expense	\$25,000	See Form
Actual Loss Sustained - 12 month Period of Indemnity	-	-

Crime

	Limit	Deductible
Employee Dishonesty	\$10,000	\$1,000
Money And Securities	\$10,000	\$1,000
Forgery Or Alteration	\$10,000	\$1,000
Money Orders And Counterfeit Currency	\$10,000	\$1,000



Crime (Continued)

	Limit	Deductible
Credit Card Forgery	\$10,000	\$1,000
Computer Fraud, Funds Transfer Fraud And Telephone Systems Fraud	\$10,000	\$1,000
Social Engineering Fraud	\$2,500	\$1,000
False Pretence	\$10,000	\$1,000

Extensions and Endorsements	Limit	Deductible
Third Party Employee Dishonesty Extension	\$5,000	See Form

Liability

	Limit	Deductible
Commercial General Liability (Occurrence Basis)		
Each occurrence limit	\$2,000,000	
- Property Damage Deductible		\$1,000
Personal and Advertising Injury	\$2,000,000	-
Products - Completed Operations Aggregate	\$2,000,000	-
General Aggregate	\$5,000,000	-
Tenants' Legal Liability	\$500,000	\$1,000
Employee Benefits Liability	\$1,000,000 per occurrence/ \$1,000,000 aggregate	\$1,000

Extensions and Endorsements	Limit	Deductible
Extension - Employers' Bodily Injury Liability Coverage Endorsement	Included	See Form
Extension - Voluntary Compensation Benefits Endorsement	-	-

RATING BASIS

Description of Operations	Exposure Base	Exposure
Information Technology Consultants	Canadian Sales	\$200,000 (CAD)

Non-Owned Automobile Liability

	Limit	Deductible
Non-Owned Automobile Liability (SPF #6)	\$2,000,000	-

Extensions and Endorsements	Limit	Deductible
Legal Liability for Damage to Hired Automobiles Endorsements (SEF #94)	\$75,000	\$1,000



Cyber Risk

	Retroactive Date	Limit	Deductible
Cyber Risk Policy Aggregate		\$50,000	-
First Party Insuring Agreements			
Incident Response Expenses		\$50,000	\$1,000
Data Recovery Expenses and Bricking		\$50,000	\$1,000
Extortion Expenses		\$50,000	20% co-payment
Business Interruption Loss and Reputational Harm 120 days		\$50,000	24 hours
Third Party Insuring Agreements			
Cyber and Privacy Liability	December 1, 2024	\$50,000	-
Media Liability	December 1, 2024	\$50,000	-
Regulatory Proceeding Expense	December 1, 2024	\$50,000	-
PCI Assessments	December 1, 2024	\$50,000	-

Additional Coverage

CRITICAL ILLNESS AND ACCIDENTAL DEATH BENEFIT

	Limit	Deductible
Critical Illness and Accidental Death Benefit Coverage		-
Retroactive Date: December 1, 2024		
Critical Illness Insurance for insureds age 55 or less	\$10,000	
Critical Illness Insurance for insureds age 56 to 64 inclusive	\$5,000	
Accidental Death Insurance for insureds age 64 or less	\$25,000	
Accidental Death Insurance for insureds age 65 or more	\$35,000	



Coverage Features - Offering comprehensive insurance coverage for your small business.

Policy Level

30 Day Cancellation Clause	Included
One Deductible	

Property

Co-insurance:

- Business Personal Property	Stated amount if signed Statement of Values submitted; otherwise 90%
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Coverage Extensions

Automatic Blanket Coverage Extension	\$500,000
- Accounts Receivable - Valuable Papers - Limited Electronic Data Restoration - EDP Equipment, Data and Media Breakdown - Personal Effects (including Volunteers); maximum \$2,500 per person / per occurrence - Fine Arts - Consequential Loss OnSite Equipment - Consequential Loss OffSite Interruption - Condominium Unit Coverage Loss Assessment - Condominium Unit Coverage Contingent - Peak Season - Brands and Labels - Building Damage by Theft - Fire Department Service Charges - Automatic Fire Suppression System Recharge Expenses - Extra Expense / Expediting Expense - Professional Fees - Roadways, Walkways, Parking Lots - Outdoor Property - Growing Plants, Lawns, Trees, Shrubs or Flowers in the Open - Debris Removal - Removal of Windstorm Debris - Terminated Lease - Tenant's Leasehold Interest – Rents - Master Key Coverage - Environmental Upgrade including Build Back Better	
Newly Acquired or Constructed Buildings or Business Property	\$1,500,000 Max. 90 days
Property Off Premises including Property on Exhibition	\$25,000

Property (continued)

Property in Transit	\$25,000Canada & USA; Debris Removal = 25% of Transit Limit; Worldwide = \$10,000; Pollutant Removal = 10% of Transit Limit;
Installation Floater	\$25,000
Identity Theft Expense	\$50,000
Building By-Laws	Included
Automatic Inflation Adjustment	Included
Stock Subject to Public Health Declaration	Included
Pollutant Cleanup and Removal	\$50,000
Property of Tenants or Registered Guests of a Hotel or Apartment or Members, Guests of Business and Residents of Health Care facilities	\$1,000 per occurrence / \$5,000 aggregate
Furs, Fur Garments, Jewels and Jewellery	\$5,000
Deferred Payment Plan (Stock)	\$50,000
Product Recall Expense	\$25,000
Rewards	\$10,000
Recovery Expense	\$50,000
Protection of Property	up to 30 days
Permissions for Repairs	\$50,000
Enhanced Pairs, Sets and Parts	Included
Errors and Unintentional Omissions in Description	\$1,500,000
Confiscation or Seizure of Business Personal Property	\$50,000
Extortion Payments	\$10,000
Hook Liability	\$50,000
Voluntary Parting	\$10,000

Equipment Breakdown

Provides comprehensive coverage for pressure vessels including:	
Ammonia Contamination	\$250,000
Water Damage	\$250,000
Hazardous Substance	\$250,000
Fungi and Spores	\$250,000



Business Interruption

12 -month period of indemnity

Coverage Extensions

Business Income, Property in transit	\$5,000
Loss of Business Income at Newly Acquired Locations	\$250,000
Contingent Business Income Coverage Including Royalties	\$50,000Canada & Continental USA,\$25,000 worldwide
Accountants Fees	\$25,000
Off Premises Heat, Power, Gas, Water or Communication Services	\$25,000
Non Owned Heat, Power, Gas, Water or Communication Services	\$25,000
Down Zoning Loss of Income	Included
Fines, Damages or Penalties for Breach of Contract	\$25,000
Enhanced Ingress, Egress and Civil Authority	Max. 30 days
Emergency Vacating Expense	\$10,000
Negative Publicity	\$10,000
Retailers Product Impairment	\$10,000
Mortgage Rate Guarantee	\$25,000
Tenant Lease Cancellation Expense	\$10,000
Errors and Unintentional Omissions in Description	\$500,000

Crime

Coverage Extensions

Professional Fees	\$10,000
Third Party Employee Dishonesty Extension	\$5,000

Commercial General Liability

Offers insurance on an occurrence basis. Limits of \$1m, \$2m and \$5m are available. Standard features include:

Tenants' Legal Liability	\$500,000
Medical Payments	\$25,000

Commercial General Liability (continued)

Employee Benefits Liability	\$1,000,000 per occurrence/ \$1,000,000 aggregate
Fungi and Spores Liability	\$250,000
Contingent Employers Liability	
Contractual Liability	
Incidental Medical Malpractice	
Automatic Coverage for Newly Acquired Subsidiaries (90 Day Reporting)	
Separation of Insureds, Cross Liability	
Broad Form Property Damage	
Employees and "Volunteer Workers" and Unit Owners of Condominiums as Additional Insureds	
Blanket Additional Insureds (as Required by Contract)	

Non-Owned Automobile Liability

Non-Owned Automobile Liability (SPF #6)	
Legal Liability for Damage to Hired Automobiles Endorsements (SEF #94)	\$75,000
Contractual Liability Endorsements (SEF #96)	
Excluding Long Term Leased Vehicle Endorsement (SEF #99)	
Reduction of Coverage for Lessees or Drivers of Leased Vehicles Endorsement (OE 98B)	

Cyber Risk

Crisis Management and Public Relations	
Forensics	
Notification costs	
Breach Coaching	
Upgraded Data Assets	Lesser of \$50,000/5% of Cyber Risk policy aggregate
Voluntary Shutdown	

◀ Refers to changes to our base policy.



Cyber Risk (continued)

Business Interruption Accountant Fees Lesser of \$50,000/10% of total amount payable for business interruption loss

Additional Extra Expense 10% of total amount payable for business interruption loss and reputation harm

PRIVACY NOTICE AND CONSENT

The undersigned, on behalf of the insured organization, declares that with respect to this application for insurance and any renewal or change in coverage, the organization has obtained the necessary consent for Federated Insurance to collect, use and disclose any personal information provided in connection with such application, renewal or change (including but not limited to the information contained in this form) for the purposes of assessing and underwriting risks on a prudent basis, performing safety assessments, determining insurance product prices, investigating and settling claims, detecting and preventing fraud or other illegal activities, analyzing business results and compiling statistics, conducting market research, reporting to regulatory or industry entities, and acting as required or authorized by law.

Signed at _____ on the _____ day of _____ 20____

Signature of Insured or Authorized Representative
of Insured if Insured is a Corporate Entity

Print name of Authorized Representative of
Insured if Insured is a Corporate Entity

Requested Effective Date of Policy _____

◀ Refers to changes to our base policy.



Pre-Authorized Payment Plans

VARIABLE PAY

Pay Plan 1

- 100% due on the policy effective date

Pay Plan 2

- 50% due on the policy effective date
- 50% due on day 60

Pay Plan 3

- 40% due on the policy effective date
- 30% due on day 60
- 30% due on day 120

Pay Plan 4

- 40% due on the policy effective date
- 20% due on day 60
- 20% due on day 120
- 20% due on day 180

MONTHLY PAY

- The automatic withdrawals are collected in equal monthly amounts during the policy term.
- The first scheduled withdrawal is the effective month of the policy.
- The last scheduled withdrawal is one month before the expiry month of the policy.
- A new billing notice will be issued when the payment schedule changes.
- Financing fees will be added to your withdrawals.

You will receive a revised "Pre-Authorized Debit Agreement – Terms and Conditions" whenever there are changes to your bank account information.

How do you sign up?

- Complete, sign, detach and return the authorization form below.
- Include a sample cheque marked VOID.
- Return to your Agent.

To contact Client Bill: Phone: 1.833.207.3958 or Email: federated.clientbill@federated.ca

✂ Cut along dotted line.

Authorization Form

Please select your pay plan: ☐ 1-Pay ☐ 2-Pay ☐ 3-Pay ☐ 4-Pay ☐ Monthly Pay

Insured's Name: [Insured's Name]

Policy #: [Policy #]

Customer #: [Customer #]

Address: [Address]

City/Town:
[City/Town]

Province: [Province]

Bank/Financial Institution: [Bank/Financial Institution]

Branch Address: [Branch Address]

City/Town:
[City/Town]

Province: [Province]

Branch #: [Branch #]

Bank Account #: [Bank Account #]

Print Payor's Name(s): (1) [Payor 1]

(2) [Payor 2]

Signature(s): (1) [Signature 1]

(2) [Signature 2]

Date: (1) [Date]

(2) [Date]

Important: For joint accounts, all payors must sign if more than one signature is required on cheques issued against the account.



Pre-Authorized Debit Agreement – Terms & Conditions

In this Agreement, "Company" shall mean Federated Insurance Company of Canada.

1. In this Agreement, "I", "me" and "my" refer to each account-holder who signs.
2. I agree to participate in this pre-authorized debit plan and I authorize the Company to draw debits (each a "Pre-Authorized Debit") on paper, electronic or other form on my business account indicated (the "Financial Institution") for the purpose of paying the scheduled premium instalments, including applicable taxes, for the Policy number(s) indicated (the "Policy(ies)").
3. I agree that Pre-Authorized Debits to pay the scheduled premium instalments, including applicable taxes, for the Policy(ies) indicated may be drawn on my business account. The Company will, at least ten (10) days before the first Pre-Authorized Debit, provide me with written notice of the amounts and payment dates of the Pre-Authorized Debits. **I waive any requirement that the Company provide to me at least ten (10) days before the due date of every such Pre-Authorized Debit a further written notice that such Pre-Authorized Debit is to be debited and the date of such debiting. The amounts may be increased / decreased at a future date as described in the Policy Declarations issued to me by the Company.** The Company will provide me with at least ten (10) days written notice of any change to the amounts or the payment dates of the Pre-Authorized Debits. The Company will obtain my authorization for any one-time or sporadic debit.
4. I agree that the Financial Institution is not required to verify that any Pre-Authorized Debit has been drawn in accordance with this Agreement, including the amount, frequency and fulfilment of purpose of any Pre-Authorized Debit.
5. I may revoke this authorization at any time, subject to delivering ten (10) days written notice of termination to the Company. The Company may notify me at any time that it will no longer accept payment of the insurance premiums by Pre-Authorized Debit. I agree that termination of this Agreement does not terminate any contract of insurance that exists between me and the Company. If this Agreement is terminated or if premiums due are not actually paid hereunder, the regular premiums payable on the Policy(ies) specified will be payable directly to the Company thereafter in accordance with the current minimum premium requirements of the Company. To obtain a sample cancellation form, or for more information on my right to cancel a Pre-Authorized Debit Agreement, I may contact my Financial Institution or visit www.cdnpay.ca.
6. I have certain recourse rights if any debit does not comply with this Agreement. For example, I have the right to receive reimbursement for any Pre-Authorized Debit that is not authorized or is not consistent with this Agreement. I may dispute a Pre-Authorized Debit (a "Disputed Debit") by making a reimbursement claim to the Financial Institution indicating:
 - (i) the Pre-Authorized Debit was not drawn in accordance with this Agreement;
 - (ii) this Agreement was revoked; or
 - (iii) any required notice or confirmation was not given.
 On receipt of a reimbursement claim from me up to and including ten (10) business days after the date any Disputed Debit was debited from my account, the Financial Institution will on a best efforts basis immediately reimburse me for the amount of the claim. I agree that after this period I shall resolve any dispute that I may have concerning a Pre-Authorized Debit solely with the Company. For more information on my recourse rights, I may contact my Financial Institution or visit www.cdnpay.ca.
7. I agree that delivery of this Agreement to the Company constitutes delivery by me to the Financial Institution.
8. I will inform the Company, in writing, of any change in the account information provided in this Agreement prior to the next due date of a Pre-Authorized Debit.
9. I warrant that all persons whose signatures are required to sign on the account have signed this Agreement.
10. I understand and agree to the foregoing terms and conditions and I acknowledge receipt of a copy of this Agreement.
11. Applicable to the Province of Quebec only: It is the express wish of the parties that this Agreement and any related documents be drawn up and executed in English. Les parties conviennent que la présente autorisation et tous les documents s'y rattachant soient rédigés et signés en anglais.

Privacy Disclosure and Consent

I have provided personal banking information for this payment option. I hereby authorize the Company to collect, use and disclose any of this personal information as permitted by law for the purposes necessary to establish and maintain contact with my bank, and facilitate payment of premiums or fees owed by me under my insurance policy.

To contact Client Bill:

☎ 1-833.207.3958

✉ federated.clientbill@federated.ca

📄 **Federated Insurance Company of Canada**
Client Bill
P.O. Box 5800, Winnipeg MN R3C 3C9